

LECTURE: ## 9

Date _____

HOW TO RAISE MONEY (Marc Andreessen, Russ Conway, Parker Conrad)

Q. What made you guys decide to invest into a founder/company?

* Based on the whole bunch of characteristics:

1) What inspired you to invent this product?

2) Really good communicator.

3) Take charge to be a leader.

Investment through stages

* The companies that will raise the venture capital.

* Invest in strength vs bet of making them an outlier.

* INVEST IN THE STARTUP THAT ARE REALLY STRENGTHFUL

What We Look For	Founder Personal Character	How to Pick Investors
Great team - "Chemistry with founders"	* Decisiveness - often tested in building the team.	* Responsiveness.
* Solid idea or product is important prerequisite.	* Do not procrastinate.	* Network significance.
* Company in growth sector.	* Be proactive.	* Experience, mentoring.
* Solving practical current problem.	* Clear vision - entire team.	* Business acumen via pattern recognition.
* Strong network effects and fast mover advantage.	* Understands direction and mission.	* Value add.
* Metrics matter - how gradual of consumer adoption.	* Team and team builder as CEO.	* Backdoor references.
* Early traction and working beta products.	* Passion.	* How many repeat entrepreneurs choose again.
* Good elevator pitch - keep it simple.	* Flexibility on idea and morph constantly.	
* Decisiveness - often tested in building the team.	* Good listeners - strong willed but flexible.	* Helping on the next financing round.

* Exec summary is important opener.	* Reliability and responsiveness	* Rolodex vs Hline vs pedigree and track record.
* IP does matter.		
* Don't over-negotiate or dwell on terms -- get back to building a co!	* Move fast, sweat-logistics - devil is in the details.	
* Hire ahead of needs and do backdoor references.	* Execution is everything - make mistakes, but learn from them.	* Over communicate with everyone - the team, investors, customers etc.
* Understand success rates.		
* Distribution and development always important - sales.	* Trust your guts, make decisions.	* Hire aggressively ahead of need * Lead by example 24/7.

* make the stuff, really easy.

BE THE
TWITTERGUY.

* Bootstrap as long as you possibly can.

* The key to success is to do so good that they cannot ignore you.

* Raising venture capital is the easiest thing that the startup founder can do and it is not a success.

What should founders do when raising money?

* The founders must really focus on the relationship between the risk and the cash.

* Option Theory of Risk.

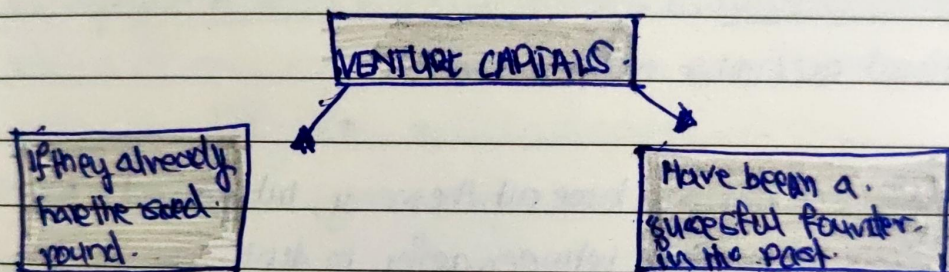
↳ Includes the list of the risks and eventually working out with the consumer of the risks.

* You raise money to peel away the risks and your making progress within the milestones.

- * You calibrate the amount of the risks.
- * The trust has to be established between the fundraising and the investors.
- * Get everything on the writing.

PROCESS :

- 1) Investments where they are going to be more than six investors (or Angels)
- 2) Evaluate the opportunity by sending a professional summary.
- 3) Help getting other value added problems.



- * Raise the seed round.

What terms should the investors pick?

- * Picking up the right seed investors.
- * Raising subsequent rounds.

Negotiations?

- * Demo day
- * Work on the evaluations.
- * Raising 10 million dollars.

* You are selling 20-30% of the company.

* The captable and everything else gets hard.

- * Important for the founder when the ownership is going to diminish themselves.

- * There must be something good happening out of the investors.
- * Multistage and the high evaluation. And when the people progress and get the good jobs.

Hypertgrowth. } $\Rightarrow$ more and more humble and be able to run companies. something.

- $\rightarrow$ All three founders are as good as the other.
- $\rightarrow$ Your chances of success grow astronomically.

BE VERY PRECISE WITH THE EXECUTION OF THE A ROUND.

- * Operational excellence matters more.

**BORROWING.
MONEY.**

$\Rightarrow$ You can lease out the money, but you need to understand the needle between going to debt.

investing in an entrepreneur. = investing for life.

- * Micro course and the years of the course are going to be.
- * Add more about the value.

**CONFLICT.
POLICY.**

$\Rightarrow$ **TRUST**

Opportunity cost

Company fairly seems possible and we pass on that basis as well.

- * Know the companies that exists.
- * Limited number of holes and the open board status.